

BEFORE THE FEDERAL MARITIME COMMISSION

INTERMODAL MOTOR CARRIERS CONFERENCE,
AMERICAN TRUCKING ASSOCIATIONS, INC.

Complainant,

v.

OCEAN CARRIER EQUIPMENT MANAGEMENT
ASSOCIATION, INC.; CONSOLIDATED CHASSIS
MANAGEMENT, LLC; CMA CGM S.A.; COSCO
SHIPPING LINES CO. LTD.; EVERGREEN LINE
JOINT SERVICE AGREEMENT, FMC NO. 011982;
HAPAG-LLOYD AG; HMM CO. LTD.; MAERSK
A/S; MSC MEDITERRANEAN SHIPPING
COMPANY S.A.; OCEAN NETWORK EXPRESS
PTE. LTD.; WAN HAI LINES LTD.; YANG MING
MARINE TRANSPORT CORP.; AND
ZIM INTEGRATED SHIPPING SERVICES,

Respondents.

FMC Docket No. 20-14

**MEMORANDUM OF LAW IN SUPPORT OF
RESPONDENTS' MOTION FOR LEAVE TO APPEAL**

Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
Cozen O'Connor
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Holland & Knight
Washington, D.C. 20006
(202) 469-5497

Deana E. Rose
Manelli Selter PLLC
1725 I Street NW.
Washington, D.C. 20006
(202) 261-1016

Paul M. Keane
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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MEMORANDUM OF LAW IN SUPPORT OF
RESPONDENTS' MOTION FOR LEAVE TO APPEAL

Respondents submit this memorandum of law in support of their motion for leave to appeal those portions of the Presiding Officer’s November 18, 2020 Order (the “Order”) denying their motion to dismiss the complaint in the above-captioned proceeding (the “Complaint”) on the basis of a lack of subject matter jurisdiction and failure to join necessary parties.

I. Introduction

Complainant Intermodal Motor Carrier Conference (“IMCC”), a subgroup of the American Trucking Associations, Inc. (“ATA”), an association of motor carriers, filed the Complaint with the Federal Maritime Commission (“FMC” or “Commission”) alleging that

certain purported practices of ocean carriers relating to their contracts for intermodal chassis violate Section 41102(c) of the Shipping Act of 1984, as amended (the “Act”).

Respondents moved to dismiss the Complaint on a variety of grounds, including a lack of subject matter jurisdiction and failure to join necessary parties. As Your Honor noted in the Order, the Complaint raises “complex and novel legal and factual issues.”¹ We believe that despite complexity and novelty, certain of the legal issues should more properly be resolved by the Commission before proceeding with expenditure of effort and expense of discovery and, potentially, trial and an initial decision on the merits. In addition, and importantly, we respectfully believe that the proper legal standards were not applied with respect to subject matter jurisdiction and the joinder of necessary parties, and as such, review of the denial of the motion to dismiss with respect to these two issues is warranted.

II. Applicable Legal Standard

Under Rule 221 of the Commission’s rules of practice and procedure, 46 C.F.R. §502.221, the Presiding Officer may grant leave to appeal a decision during the course of a proceeding if she finds it necessary to do so to prevent substantial delay, expense, or detriment to the public interest, or undue prejudice to a party. As explained below, Respondents’ request for leave to appeal aspects of the Order meets this standard.

In applying Rule 221, the Commission is guided by procedures used by federal district courts. There, interlocutory appeals are permissible if a district judge certifies that an otherwise unappealable order involves a controlling question of law as to which there is a substantial ground for difference of opinion and an immediate appeal from the order may materially advance the ultimate termination of the litigation. *See, e.g., Cargo One, Inc. v. COSCO Container Lines*

¹ Order at p. 2.

Company, Ltd., 28 S.R.R. 1363, 1365 (ALJ 2000); *Amzone International Inc. and Universal Cargo Management, Inc. v. Hyundai Merchant Marine Co., Ltd.*, 27 S.R.R. 386, 389 (ALJ 1995).

Leave to file an interlocutory appeal has been granted with respect to issues that may dispose of a case, such as the application of the statute of limitations (*Maher Terminals, LLC v. Port Authority of New York and New Jersey*, 32 S.R.R. 1, 33 (ALJ May 16, 2011) and the availability of sovereign immunity (*Toyota de Puerto Rico Corp. v. Puerto Rico Ports Authority, et al.*, 2020 WL 136847, FMC Docket No. 19-02 (ALJ January 3, 2020)). Such leave has also been granted when a motion to dismiss was denied in part, and review of the decision would help clarify the scope of the proceeding. *In Re Vehicle Carrier Services*, 1 F.M.C.2d 45, 53 (ALJ 2018).

III. Argument

A. The Order Involves Controlling Questions Of Law As To Which There Is A Substantial Ground For Difference Of Opinion

The issues of subject matter jurisdiction and joinder of necessary parties are controlling questions of law with respect to this case, and there is a substantial ground for difference of opinion on those issues.

Subject matter jurisdiction is obviously a controlling question of law with respect to this case – without such jurisdiction, the Complaint cannot be heard by the Commission, and the case must be dismissed.

There is a substantial question as to the existence of such jurisdiction. Respondents maintain that the Commission lacks subject matter jurisdiction over the relationship between ocean carriers and truckers and has cited Commission decisions in support of this position. *See, e.g., Pro Transport, Inc., et al. v. Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd.*,

Inc., FMC Docket No. 16-12 (ALJ April 26, 2017). Complainant cited no precedent to the contrary in its response to the motion to dismiss. Without citing any Commission precedent on the issue of subject matter jurisdiction, the Order concluded that such jurisdiction was “sufficiently alleged.” Order at p. 4. However, that is not the proper legal standard in this instance. Respondents’ motion did not challenge the sufficiency of the pleadings with respect to subject matter jurisdiction (a so-called “facial challenge”) but rather the very existence of such jurisdiction (a so-called “factual challenge”). Accordingly, the sufficiency of the pleadings is not the relevant legal determination for purposes of the motion. The Commission must address the actual existence of subject matter jurisdiction with the facts of the case in mind. *See, e.g.*, *Schuchardt v. President of the United States*, 802 Fed. Appx. 69, 71 (3rd Cir. 2020); *Hartig Drug Co. v. Senju Pharm. Co.*, 836 F.3d 261, 268 (3rd Cir 2016); *Branson Label, Inc. v. City of Branson*, 793 F.3d 910, 914-915 (8th Cir. 2015).

Given the precedent cited by Respondents and the lack of Commission precedent cited by Complainant, there is a substantial question as to the existence of Commission subject matter jurisdiction. This threshold issue should be addressed and resolved by the Commission before this case proceeds.

Like subject matter jurisdiction, the failure to join necessary parties is a controlling issue of law with respect to this case. Respondents maintain that the relief sought by Complainant would require revisions to contracts between Respondents and third parties not subject to the Commission’s jurisdiction, and that the inability to join these third parties requires dismissal of the proceeding under F.R.C.P. 19. Respondents have cited extensive federal jurisprudence as well as Commission precedent which supports this position. Complainant did not address the

precedent cited by Respondents in its response to the motion to dismiss, nor did the Presiding Officer do so in the Order.

While the Order acknowledges that the relief sought includes a cease and desist order against default provider designation for merchant haulage movements (Order at p. 6), it overlooks the allegation that the source of these purported default provider designations for merchant haulage movements is contracts between the ocean carriers and the equipment providers. Complaint, ¶ 47. If the factual allegation regarding the source of the default designations is afforded the same presumption of truthfulness as the other allegations in the Complaint (i.e., that these carrier-provider contracts are the source of the default designation), then a cease and desist order with respect to the default designation will require revisions to the contracts. In other words, the Order's conclusion that the requested relief can be granted without involving third parties is factually incorrect on the basis of the pleadings.

Because the third parties are necessary and cannot be joined, then the proceeding must be dismissed. Accordingly, the joinder of third parties is a controlling question of law over which there is a substantial difference of opinion.

B. An Appeal Is Necessary To Prevent Substantial Expense To The Parties

The Presiding Officer should grant Respondents' leave to appeal in order to prevent substantial expense to the parties, which is a basis for granting such leave under Commission Rule 221.

Given the number of respondents in this case, the discovery demands which are expected from Complainant, and the need for Respondents to subpoena information from members of the Complainant, discovery will be a massive undertaking that will likely entail the production of millions of pages of documents and innumerable depositions. The extent and expense of discovery will be compounded because the reasonableness of conduct for purposes of the Act is

a factual issue that cannot be resolved without a considerable factual record, a record which will have to be developed through exhaustive document productions, depositions of party witnesses and the subpoena of non-parties for the production of documents and witnesses.

Before the parties incur the expense of discovery in this proceeding, it would be prudent to have the Commission rule on the threshold issues identified above which, if resolved in favor of Respondents, would avoid the cost of discovery for all involved. This conclusion has been reached in other cases, such as *In Re Vehicle Carrier Services*, 1 F.M.C.2d 45, 53 (ALJ 2018), where the Presiding Officer explained:

Permitting an interlocutory appeal of the partial denial of the motion and supplemental motion to dismiss would allow a determination of the scope of the proceeding before the parties engage in expensive and time-consuming discovery. In addition, complex litigation is often resolved by settlement agreements between the parties. The parties should know the potential recovery possible prior to expending additional resources litigating these claims.

The same rationale applies in this proceeding.

C. An Appeal Is In The Public Interest

Allowing Respondents to appeal the subject matter jurisdiction and necessary party issues would serve the public interest.

As the Order notes, the Complaint raises complex and novel issues. One of these issues is the scope of the Commission's subject matter jurisdiction. If the Commission intends to depart from existing precedent and for the first time assert jurisdiction over the relationship between ocean carriers and motor carriers, then it is in the public interest to have the Commission explain why it is changing the law and how this expanded jurisdiction may be relevant to future disputes between ocean carriers and motor carriers.

Another issue is the need to join third parties. If this case is to continue without necessary third parties being joined, then the public (including equipment providers) should

understand why this is so and what impact this may have on the relief afforded in this proceeding, should it ultimately be resolved in favor of Complainant. In the past, it has been recognized that Commission resolution of unsettled legal issues is in the public interest. See, e.g., *Maher Terminals, LLC v. Port Authority of New York and New Jersey*, *supra*. (ALJ granted *sua sponte* leave to appeal issue involving application of statute of limitations to claim for cease and desist order).

Finally, it is in the public interest for agencies such as the Commission to resolve matters before them with as little expenditure of agency resources as possible. If the Commission rules in favor of Respondents on appeal, this would conserve the resources of the Commission as well as those of the parties.

IV. The Proceeding Should Be Stayed Pending The Outcome Of The Appeal

Assuming Respondents' motion for leave to file an interlocutory appeal is granted, we respectfully request that the Presiding Officer stay this proceeding pending the Commission's ruling on that appeal.

The Presiding Officer has broad authority to manage the course of a proceeding. See, 46 C.F.R. §502.25(b)(4). This is similar to the power afforded federal judges to control their docket:

[T]he power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.

Landis v. N. Am. Co., 299 U.S. 248, 254 (1936). In deciding whether to stay a proceeding, the judge to whom that proceeding is assigned is to balance the court's interest in judicial economy

and any possible hardship to the parties. *United States SEC v. Deloitte Touche Tohmatsu CPA Ltd.*, 928 F.Supp.2d 43, 50 (D.D.C. 2013) citing *Landis*.²

Here, a balancing of the interests weighs in favor of a stay. A ruling on an interlocutory appeal could end this proceeding, thereby conserving Commission resources and saving the parties the time and expense of discovery and litigation. The modest delay involved in obtaining a Commission ruling will not prejudice or harm either party. In this regard, Complainant does not utilize or pay for chassis, is not seeking monetary damages, and the conduct which is the subject of the Complaint is alleged to have been going for a period of years prior to the filing of the Complaint. Complaint, ¶¶ 2, 28. Thus, the brief period of time this proceeding would be stayed for the Commission to render a decision on the appeal would not be harmful to Complainant, and the benefit of a Commission ruling on these controlling issues far outweighs the consequences of waiting for such a ruling.

² There are a limited number of ALJ decisions suggesting that the standard to be applied by the FMC in deciding whether to stay a proceeding before the agency is the four-part test of *Virginia Petroleum Jobbers Ass'n v. FPC*, 259 F.2d 921, 925 (D.C. Cir. 1958). However, the Commission itself has never adopted this standard, and the ALJ decisions appear to have been decided in error. *Virginia Petroleum Jobbers* and other cases relied on for application of the four-part test (e.g., *Wisconsin Gas Co. v. FERC*, 758 F.2d 669 (D.C. Cir. 1985)) involved a court staying dispositive orders issued by FERC, pending an appeal. i.e., an injunction of an agency's determination on the merits. The fact that *Virginia Petroleum Jobbers* equates the standard for a stay under those circumstances to be the equivalent of those required for an injunction is made clear by the legislative history of the Shipping Act of 1984 citing this case for the standard that the Commission must meet to obtain an injunction against an agreement under what is now 46 U.S.C. §41307(b). H. Rep. No. 53, Part 2, 98th Cong., 1st Sess., p. 10 (1983). None of the court cases applying the four-part test involve a court staying a proceeding before that same court, which is the situation here. When a court or agency is staying a proceeding pending before it, the applicable standard is the more lenient *Landis* balancing test and the *Landis* standard is more appropriate where, as in this case, the stay merely invokes the Presiding Officer's power to manage her own docket and the scheduling order of the cases before her. Having said this, a stay of this proceeding is warranted even under the *Virginia Petroleum Jobbers* test. Given Commission precedent on subject matter jurisdiction and federal case law on Rule 19 joinder, Respondents have made a strong showing that they are likely to prevail on the merits. Absent a stay, this litigation would continue without resolution of these threshold issues. Given the length of time it would take to resolve this case, the uncertainty it engenders, and the potential legal exposure it creates would disrupt Respondents' commercial relationships and constrain their forward-looking operational decisions in a manner that would cause them irreparable harm. Finally, as noted in Section IV above, Complainant would suffer no harm as the result of the stay and a stay would be in the public interest.

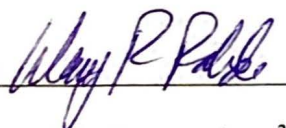
V. Conclusion

The absence of subject matter jurisdiction and the failure to name indispensable parties are threshold issues which will remain extant through the end of this case. They should be determined now, before the parties expend millions of dollars in legal costs on document productions, depositions, and a trial. For the foregoing reasons, Respondents should be granted leave to appeal those portions of the Order dealing with subject matter jurisdiction and failure to join necessary parties, and this proceeding stayed pending the outcome of that appeal.

Respectfully submitted,

COZEN O'CONNOR

HOLLAND & KNIGHT

By: 

By: _____

Counsel for Respondents³
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Counsel for Respondent Hapag-Lloyd AG
Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
(202) 469-5497

MANELLI SELTER PLLC

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: 

By: 

Counsel for Respondent Yang Ming
Marine Transport Corporation
Deana E. Rose
1725 I Street NW., Suite 300
Washington, D.C. 20006
(202) 261-1016

Co-Counsel for Evergreen Line Joint
Service Agreement, FMC No. 011982
Paul M. Keane
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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³ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation, and as co-counsel for Evergreen Line Joint Service Agreement.

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Respectfully submitted,

COZEN O'CONNOR

HOLLAND & KNIGHT

By: _____

By:  _____

Counsel for Respondents³
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Counsel for Respondent Hapag-Lloyd AG
Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
(202) 469-5497

MANELLI SELTER PLLC

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: _____

By: _____

Counsel for Respondent Yang Ming
Marine Transport Corporation
Deana E. Rose
1725 I Street NW.
Washington, D.C. 20006
(202) 261-1016

Co-Counsel for Evergreen Line Joint
Service Agreement, FMC No. 011982
Paul M. Keane
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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**RESPONDENTS' APPEAL OF CERTAIN PORTIONS OF
ORDER DENYING MOTION TO DISMISS**

Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
Cozen O'Connor
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Holland & Knight
Washington, D.C. 20006
(202) 469-5497

Deana E. Rose
Manelli Selter PLLC
1725 I Street NW.
Washington, D.C. 20006
(202) 261-1016

Paul M. Keane
Cichanowicz Callan Keane & De May, LLP
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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Respondents.)

**RESPONDENTS' APPEAL OF CERTAIN PORTIONS OF
ORDER DENYING MOTION TO DISMISS**

Respondents hereby appeal those portions of the Presiding Officer's November 20, 2020 Order Denying Motion to Dismiss ("Order") in the above-captioned proceeding relating to subject matter jurisdiction and the joinder of necessary parties.¹ For the reasons set forth below, the Commission should reverse the Order and terminate this proceeding.

¹ Respondents are appealing the Order with respect to subject matter jurisdiction and the joinder of necessary parties because these are threshold issues that should be resolved in order to avoid the potentially needless expenditure of time and legal costs. Respondents reserve their rights with respect to all other issues raised in the motion to dismiss that are not the subject of this interlocutory appeal.

I. Introduction

Complainant Intermodal Motor Carrier Conference (“IMCC” or “Complainant”), a subgroup of the American Trucking Association (“ATA”), an association of motor carriers, filed a complaint (“Complaint”) with the Federal Maritime Commission (“FMC” or “Commission”) alleging that certain purported practices of ocean carriers relating to their contracts for intermodal chassis violate Section 41102(c) of the Shipping Act of 1984, as amended (the “Act”).

Respondents moved to dismiss the Complaint on multiple grounds, including a lack of subject matter jurisdiction and failure to join necessary parties. The Presiding Officer denied the motion in an 8-page Order issued less than forty (40) days after briefing on the motion to dismiss was fully submitted.

Respondents respectfully submit that the Presiding Officer’s decision should be reversed. Regarding the decision on subject matter jurisdiction, the Presiding Officer applied the incorrect legal standard to the motion to dismiss for lack of subject matter jurisdiction. In addition, neither the Complainant nor the Presiding Officer addressed the Commission’s precedent cited by Respondents in support of their position that the Commission lacks subject matter jurisdiction. Under that precedent, the Commission lacks subject matter jurisdiction and must dismiss this case.

Regarding the motion to dismiss for failure to join necessary parties, the Presiding Officer erred in analyzing the standard and applying the proper factual presumptions. Although the Presiding Officer ostensibly accepted the allegations in the Complaint as true, the Presiding Officer did not apply that presumption to the allegations in the Complaint which support Respondents’ position: specifically paragraph 47 that alleges that contracts between ocean

carriers and chassis providers preclude Complainant's members from choosing a chassis provider. Moreover, neither the Presiding Officer nor Complainant addressed the clearly applicable federal court precedent supporting Respondents' position. Under a proper analysis of Respondents' arguments and applicable precedent, the Order should be reversed and the Complaint dismissed for failure to join necessary parties.

II. Applicable Legal Standard

When the Commission reviews an initial decision, it has all the powers which it would have in making the initial decision. 46 C.F.R. §502.227(a)(6). Hence, the review of the Order is *de novo*.

III. The Presiding Officer Erred In Denying The Motion To Dismiss On The Grounds That The Commission Lacks Subject Matter Jurisdiction

The Presiding Officer committed two errors that require reversal of the Order and dismissal of this proceeding on the grounds that the Commission lacks subject matter jurisdiction.

A. The Presiding Officer Applied The Incorrect Standard In Analyzing The Motion To Dismiss for Lack of Subject Matter Jurisdiction

By applying the incorrect standard in analyzing the motion to dismiss for lack of subject matter jurisdiction, the Presiding Officer failed to properly address the merits of that argument.

The Presiding Officer relied on *MAVL Capital v. Marine Transport Logistics*, 2020 FMC LEXIS 216, *6, citing *Kerns v. United States*, 585 F.3d 187, 192-193 (4th Cir. 2009), to apply the Federal Rule of Civil Procedure ("FRCP") 12(b)(6) standard to the motion and to take all facts alleged as true and to draw all reasonable inferences in the Complainant's favor. Order at p. 2. Based on this, the Presiding Officer concluded that subject matter jurisdiction was "sufficiently alleged." Order at p. 4.

However, that is not the proper standard to apply to this motion to dismiss . As *Kerns* and other cases addressing the standard to be applied to a motion to dismiss for lack of subject matter jurisdiction under FRCP 12(b)(1) make clear, there are two types of challenges to subject matter jurisdiction. There is a facial challenge, in which the defendant argues that the complaint does not allege sufficient facts to establish subject matter jurisdiction. It is this type of challenge which is reviewed under the Rule 12(b)(6) standard applied by the Presiding Officer. The other type of challenge is the factual challenge, in which the defendant alleges that subject matter jurisdiction does not exist irrespective of what is contained in the complaint or in other pleadings. See, e.g., *Schuchardt v. President of the United States*, 802 Fed. Appx. 69, 71 (3rd Cir. 2020); *Hartig Drug Co. v. Senju Pharm. Co.*, 836 F.3d 261, 268 (3rd Cir 2016); *Branson Label, Inc. v. City of Branson*, 793 F.3d 910, 914-915 (8th Cir. 2015). The latter standard should have been applied to Respondents’ motion.

Respondents’ challenge to subject matter jurisdiction in this case is factual, not facial. Accordingly, the sufficiency of the pleadings is not the relevant legal determination. Instead, the Commission must analyze whether subject matter actually exists, not just whether it is sufficiently alleged. Moreover, in this type of challenge, the burden of establishing jurisdiction is on the plaintiff. *Scuchardt* at 71. As explained further below, subject matter jurisdiction does not exist in this case and Complainant has utterly failed to meet its burden.

B. The Commission Lacks Jurisdiction Over The Relationship Between Motor Carriers And Ocean Carriers

Because Complainant is a trade association of motor carriers that is not regulated under the Act, the Complaint falls outside of the Act and the FMC's jurisdiction, and must be dismissed.

It is well-established that in administering the Act, the Commission's primary objective is to protect the shipping industry's customers from unfair or discriminatory practices. *See, e.g., Sea-Land Dominicana v. Sea-Land Service, Inc.*, 26 S.R.R. 578 (FMC 1992); *American Union Transport, Inc. v. Italian Line*, 2 U.S.M.C. 553 (USMC 1941).

In *Sea-Land Dominicana*, the Commission dismissed a complaint against an ocean carrier by its sales representative for lack of subject matter jurisdiction. In a thoughtful analysis of the scope of its jurisdiction, the Commission explained:

While it is true, as Complainants assert, that the 1984 Act contains broad language permitting "any person" to file a complaint with us and protecting "any person" against unlawful prejudice and disadvantage and the effects of unlawful preference and advantage, such broad general language cannot be read in the abstract, but must be restricted to the purpose of the relevant regulatory legislation. *NAACP v. FPC*, 425 U.S. 662, 669-71(1976).

* * *

There is nothing in the specific language, structure, or legislative history of the 1984 Act which shows an intention to subject the dispute between Complainants and Sea-Land to our jurisdiction. The "any person" language in section 11 of the 1984 Act relates only to who may bring an action. It is procedural in nature, and does not give the Commission any jurisdiction over a particular subject matter. Such jurisdiction must be found in the substantive provisions of that statute. See e.g., *International Association of NVOCCs v. Atlantic Container Line*, (Order Affirming Dismissal of Collective Bargaining Associations), 25 S.R.R. 734, 744 (1990); *Cargill, Inc. v. Waterman Steamship Corp.*, 21 S.R.R. 287, 300 (1981).

The language of the substantive provisions of the statute fails to indicate any intention that the Commission assert jurisdiction over the matters here in controversy.

* * *

The 1984 Act lists in section 10 many "prohibited acts," all of which, to the extent they attempt to define the prohibited conduct, appear to relate to relationships either between regulated entities or between those entities and the shipping public. In fact, it is well established that the primary objective of the shipping laws administered by the Commission is generally to protect the shipping industry's customers rather than members of the industry. See *Boston Shipping Association v. FMC*, 706 F.2d 1231, 1238 (1st Cir. 1983) ("BSA"); *New York Shipping*

Association, Inc. v. FMC, 854 F.2d 1338, 1374 (D.C. Cir. 1988), cert. denied, 488 U.S. 1041 (1989) ("NYSA").

Sea-Land Dominicana, 26 S.R.R. at 581 (emphasis added).²

The Commission applied this rationale to a complaint brought by a motor carrier against an ocean carrier in *Pro Transport, Inc., et al. v. Seaboard Marine of Florida, Inc. and Seaboard Marine Ltd., Inc.*, FMC Docket No. 16-12 (ALJ April 26, 2017), administratively final May 31, 2017. In *Pro Transport*, the complainant motor carrier alleged that the respondent ocean carrier had violated several provisions of the Act by refusing to pay the motor carrier, terminating the relationship between the two entities, and refusing to cooperate with respect to the resolution of outstanding insurance claims. Quoting *Sea-Land Dominicana*, the ALJ granted Seaboard's motion to dismiss for lack of subject matter jurisdiction. The ALJ rejected arguments that performance of the inland leg of a through move in foreign commerce brought the dispute within the jurisdiction of the Commission, stating:

In this case, however, the dispute does not involve a provision in a through bill of lading. Rather, the payment dispute involves the terms of an agreement between Pro Transport and Seaboard for domestic trucking services. It is not the terms of the through bill of lading that would determine the outcome, but rather the terms of the agreement for domestic trucking services. The reasons that justified the Supreme Court's decision in "*K*" *Line* do not apply to this dispute. Although the parties have not identified a case specifically dealing with domestic trucking services, to find that this agreement and disputes arising under it are subject to the Commission's jurisdiction would appear to be inconsistent with prior Commission decisions recognizing the limits of the Commission's reach. "It is well-settled that the Commission does not have jurisdiction over disputes involving purely domestic transportation services." *AMR Industries, Inc. v. INTL Move, LLC*, Dkt. 1952(I), (SCO Oct. 26, 2015) ("Small Claims Officer Decision Dismissing Complaint").

² See also, *McKenna Trucking Company v. A.P. Moller-Maersk Line and Maersk Incorporated*, 27 S.R.R. 1045 (ALJ 1997); administratively final: June 23, 1997; complaint dismissed, 27 S.R.R. 1343 (ALJ 1997); administratively final: September 16, 1997 (the Commission lacks authority to regulate relationships between ocean carriers and unregulated members of the industry such as intermodal truckers).

(ALJ, April 26, 2017, pp. 11-12)(emphasis added). This case is similar to *Pro Transport* in that Complainant motor carrier association and its members are not among the entities protected by the Act.

Moreover, just as in *Pro Transport*, the conduct herein at issue is not governed by the terms of a through bill of lading, but relates to domestic trucking services. Paragraph 31 of the Complaint explains that in carrier haulage, the ocean carrier's service includes inland transport and the ocean carrier pays for the chassis. The Complaint is focused on those movements in which the motor carrier pays for the chassis, i.e., merchant haulage. In merchant haulage, the inland transport is not provided by the ocean carrier and thus is not covered by its bill of lading, service contract, or tariff. Rather, in merchant haulage, inland transport is contracted for directly between the cargo interest and the motor carrier, and is not subject to FMC jurisdiction. In short, this is precisely the type of dispute over which the FMC has previously held that it had no jurisdiction.

The lack of jurisdiction is evident from the Commission's own interpretation of Section 41102(c). In adopting an interpretative rule with respect to this statutory provision, the Commission stated:

The Interstate Commerce Commission (ICC), the United States Shipping Board (USSB)(the agency created by Congress in the 1916 Act), its successor agencies, and the currently constituted Commission, together with state and federal courts have consistently ruled that "practice" means: (1) the acts/omissions of regulated common carriers that were positively established by the regulated common carrier and imposed on the passenger/cargo interest...

83 Fed. Reg. 45367, 45369 (September 7, 2018) (emphasis added, footnote omitted). Given that the Commission, its predecessors, other agencies, and both state and federal courts have consistently held that Section 41102(c) and comparable statutes apply only to regulations and

practices imposed on the cargo interest, and that motor carriers are not cargo interests, it is clear that motor carriers cannot bring a claim under Section 41102(c).

The Commission's own conduct supports this conclusion. Respondents are aware of only two occasions on which the Commission has engaged in regulation that might be viewed as relating to motor carriers. The first was the publication of regulations relating to truck detention at the Port of New York. *Truck Lighter Loading and Unloading Practices at New York Harbor*, 12 F.M.C. 166 (1969). The second was the recently issued interpretative rule regarding demurrage and detention practices. 85 FR 29639 (May 18, 2020). Both are readily distinguishable.

The truck detention case was a non-adjudicatory matter. It related to regulations at the Port of New York were adopted because marine terminal operators published provisions in their marine terminal operator schedules disclaiming liability for delays to trucks. 12 FMC at 167. Those regulations had nothing to do with the relationship between ocean carriers and motor carriers.

The recently published interpretative rule on demurrage and detention focuses on the relationship between ocean carriers and their shipper customers, not motor carriers. Indeed, the genesis of the interpretative rule was a petition filed by a coalition that involved primarily shippers.³ Moreover, in light of the Commission's own interpretation of the application of Section 41102(c) and the extensive jurisprudence supporting it, the suggestion in the interpretative rule that the Commission has jurisdiction over the Uniform Intermodal and Interchange and Facilities Access Agreement is subject to significant legal limitations and/or challenges, at least insofar as Section 41102(c) is concerned.

³ Of the 26 associations that made up the Coalition for Fair Port Practices, only 3 were motor carrier associations. The remainder were associations of shippers or transportation intermediaries. Exhibit B, Petition P4-16.

Moreover, both the truck detention regulations and the interpretative rule on demurrage and detention differ from this case in a significant respect. The truck detention regulations addressed matters that carriers or marine terminal operators published in their tariffs, which indicate they are regulations that impact the shipping public, whose interests the Act in general and Section 41102(c) in particular are intended to protect. Thus, the Commission could at least arguably assert its authority with respect to the provisions of marine terminal operators and ocean carriers in those instances. The conduct that is the subject of the Complaint, however, is not required to be, and often is not, covered by a provision in the ocean carriers' tariffs or service contracts. The conduct here relates to private contracts between ocean carriers and motor carriers as to which the Act and regulations make no reference. The fact that the practices at issue are not subject to publication in a tariff shows that they are, as held in *Sea-Land Dominicana* and *Pro Transport*, related to a category of persons that the Act is not intended to protect and therefore beyond the scope of the Act and the Commission's authority.

In light of the foregoing, the Complaint must be dismissed for a lack of subject matter jurisdiction.

IV. The Presiding Officer Erred In Considering Respondents' Motion To Dismiss For Failure To Join Necessary Parties Without Whom Relief Cannot Be Granted

The Presiding Officer committed two errors that require reversal of the Order and dismissal of this proceeding on the grounds that the Complainant has not and cannot join third parties without whom relief cannot be granted.

A. The Presiding Officer Improperly Considered All Facts In The Complaint To Be True

In considering the motion to dismiss for failure to join necessary parties, the Presiding Officer accepted as true the allegations in the Complaint and drew all reasonable inferences in the non-moving party's favor. Order at p. 6. While this is the standard normally applied when

considering a motion to dismiss, there is a narrow exception to this rule for factual assertions that are contradicted by the complaint itself. *Perry v. NYSARC, Inc.* 424 Fed. Appx. 23, 25 (2nd Cir. 2011). *See also, Hirsch v. Arthur Andersen & Co.*, 72 F.3d 1085, 1095 (2d Cir. 1995) (upholding dismissal where "attenuated allegations" supporting the claim were contradicted by more specific allegations in the complaint).

Here, relying on the allegations contained in paragraph 3(d) of the Request for Relief as true, the Presiding Officer concluded that the relief sought by Complainant impacts only the parties to the proceeding and that no other parties are necessary. Order at 6. Paragraph 3(d) of the Request for Relief asks that Respondents be ordered to cease and desist from adopting, maintaining and/or enforcing default provider designations for merchant haulage, suggesting that Respondents are the sole source of these designations. However, this is contradicted by paragraph 47 of the Complaint, which alleges that the source of these default provider designations is the contracts between ocean carriers and chassis providers. Notably, the sub-heading under which this allegation is found states: "Respondents Use the IEP Contracting Process to Prevent Chassis Choice and Overcharge Motor Carriers for Chassis on Merchant Haulage." Because paragraph 3(d) of the Request for Relief is contradicted by the more specific factual allegations in Paragraph 47 of the Complaint, it is improper to accept paragraph 3(d) as true. As a result, the conclusion that other parties are not necessary to afford the relief requested cannot be sustained and, as explained below, the Complaint must be dismissed.

B. The Complaint Must Be Dismissed Because Relief Cannot Be Granted Without The Chassis Providers, Over Whom The Commission Lacks Jurisdiction

The Commission's rules do not expressly address the joinder of necessary parties. Under 46 C.F.R. §502.12, however, the Commission relies on the FRCP in such instances. FRCP 19 describes the requirements for joinder of parties:

1. Persons to be Joined If Feasible:

a. *Required Party.* A person who is subject to service of process and whose joinder will not deprive the court of subject-matter jurisdiction must be joined as a party if:

i. In that person's absence, the court cannot accord complete relief among existing parties; or

ii. that person claims an interest relating to the subject of the action and is so situated that disposing of the action in the person's absence may:

(1) as a practical matter impair or impede the person's ability to protect the interest; or

(2) leave an existing party subject to a substantial risk of incurring double, multiple, or otherwise inconsistent obligations because of the interest.

If a person who is required to be joined cannot be joined, the court must determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed. The factors for the court to consider include:

(1) the extent to which a judgment rendered in the person's absence might prejudice that person or the existing parties;

(2) the extent to which any prejudice could be lessened or avoided by:

(A) protective provisions in the judgment;

(B) shaping the relief; or

(C) other measures;

(3) whether a judgment rendered in the person's absence would be adequate; and

(4) whether the plaintiff would have an adequate remedy if the action were dismissed for nonjoinder.

(emphasis added). The FMC has applied Rule 19 in its proceedings. See, *All Marine Moorings, Inc. v. ITO Corp. of Baltimore*, 26 S.R.R. 1396, 1397 (ALJ 1994), citing *CGM/ICT v. Maduro*, 23 S.R.R. 1495 (ALJ 1986).

It is well-settled that for purposes of FRCP 19, where two parties enter into a contract and a plaintiff sues one of the contracting parties to enjoin that contracting party from performing under its contract, the presence of the other party to the contract is required in the lawsuit. See,

e.g., *Dawavendewa v. Salt River Project Agric. Improvement and Power Dist.*, 276 F3d. 1150, 1156 (9th Cir. 2002) (case brought under federal civil rights laws dismissed because landlord could not be joined but was necessary party where defendant could be faced with choice between adhering to lease with landlord or complying with requested injunction); *Crouse-Hinds Co. v. InterNorth, Inc.*, 634 F.2d 690, 700-701 (2nd Cir. 1980) (“in an action to set aside a lease or a contract, all parties who may be affected by the determination of the action are indispensable”); *Natural Resources Defense Council v. Kempthorne*, 539 F.Supp.2d 1155, 1185 (E.D. Cal. 2013) (“in an action to set aside a contract, all parties to the contract must be present”); *Camacho v. Major League Baseball*, 297 F.R.D. 457, 461-62 (S.D. Cal. 2013) (party to contract indispensable to litigation seeking to decimate that contract).

The ALJ applied the forgoing principles in *All Marine*. In that case, the complainant challenged the lawfulness of the respondent’s refusal to allow All Marine to perform berthing and line handling functions at respondent’s terminal. Respondent, in defending against the allegations, claimed that provisions of its lease with the landlord port authority and the port authority’s tariff required it to engage in the conduct that was the subject of the complaint. The ALJ concluded that given the allegations concerning the terms of the lease and port authority tariff, even if the complainant was able to establish that the practices were unreasonable, it might not be possible to grant complete relief if the port authority was not a party to the action.

The chassis providers are parties to binding contracts with each of the individual ocean carriers against which Complainant seeks a cease and desist order. Through these contracts, the ocean carriers fulfill their obligation to make chassis available at hundreds of U.S. intermodal locations by having the chassis providers place the chassis at these locations and make them

available to truckers. Under federal jurisprudence interpreting Rule 19, the chassis providers are indispensable parties.

Just as complete relief could not be granted in *Dawavendewa* without the landlord or in *All Marine* without the port authority, complete relief cannot be granted unless the chassis providers are party to the case. The ocean carrier Respondents allegedly entered into contractual arrangements governing the chassis to be used for transport of the ocean carriers' containers. Complaint, ¶ 49.⁴ If the conduct of Respondents under the contracts is found to be unlawful, the Commission could order the Respondents to cease and desist from such conduct, which order would have the effect of requiring Respondents to re-negotiate and revise their contracts with the chassis providers to comply with the Commission's ruling. However, the chassis providers would be under no obligation to agree to such amendments. If the chassis providers refuse to agree, the ocean carrier Respondents will be subject to a substantial risk of incurring inconsistent obligations (i.e., having to choose between breaching their agreements with the chassis providers and being liable to the chassis providers for that breach, or continuing to honor the contractual arrangement and thereby continuing to engage in conduct which assuming arguendo has been found to violate the Act, either of which could expose them to considerable liability). This is virtually identical to the situation in *Dawavendewa*, and makes the chassis providers indispensable parties under FRCP 19.

Although the chassis providers are indispensable parties, the Commission lacks personal jurisdiction over them, given that they are not common carriers, marine terminal operators or ocean transportation intermediaries, the only entities subject to 46 U.S.C. §41102(c). Therefore,

⁴ While all ocean carrier respondents have contracts with chassis providers, the terms and provisions of these contracts vary from carrier to carrier, as do the chassis-related practices of each carrier. However, for purposes of this motion to dismiss, the factual allegations contained in the Complaint are accepted as true, which means for purposes of this motion that the contracts would need to be amended.

it is necessary to consider the factors listed in the second part of FRCP 19 in order to determine whether, in equity and good conscience, the action should proceed among the existing parties or should be dismissed.

An analysis of the four factors listed in the second part of FRCP 19 compels dismissal of the Complaint. While Respondents wholly reject the notion that existing practices are unlawful under the Act, a judgment in favor of Complainants rendered in the absence of the chassis providers would prejudice Respondents (as explained above) and also potentially prejudice the chassis providers. The prejudice cannot be lessened or avoided by protective provisions in the judgment, shaping the relief, or other measures. If the current practices which are the subject of the Complaint are found unlawful, the contracts to which the chassis providers are parties will need to be revised or terminated in order to comply with the Commission's ruling.⁵ Given the need to revise or terminate the existing contracts between the Respondents and the chassis providers in the event of a ruling adverse to the Respondents, it is possible that a judgment rendered in the absence of the chassis providers would not be adequate, as Respondents cannot guarantee that existing contracts could be amended or terminated. Finally, Complainants could presumably bring an action against the Respondents in another forum if this Complaint is dismissed.

In light of the foregoing, given the absence of an indispensable party and the implications that absence has for the missing party (the chassis providers) and the existing parties, the Complaint should be dismissed.

⁵ Breach or termination of these contracts by ocean carriers would seriously undermine the availability of chassis for both carrier haulage and merchant haulage moves in the United States.

V. Conclusion

For the foregoing reasons, the Complaint must be dismissed in its entirety as to all Respondents.

Respectfully submitted,

COZEN O'CONNOR

HOLLAND & KNIGHT

By: 

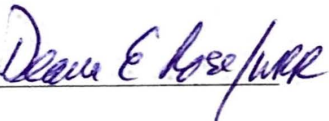
Counsel for Respondents⁶
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

By: _____

Counsel for Respondent Hapag-Lloyd AG
Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
(202) 469-5497

MANELLI SELTER PLLC

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: 

Counsel for Respondent Yang Ming
Marine Transport Corporation
Deana E. Rose
1725 I Street NW, Suite 300
Washington, D.C. 20006
(202) 261-1016

By: 

Co-Counsel for Evergreen Line Joint
Service Agreement, FMC No. 011982
Paul M. Keane
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

December 3, 2020

⁶ Other than Hapag-Lloyd AG and Yang Ming Marine Transport Corporation, and as co-counsel for Evergreen Line Joint Service Agreement.

V. Conclusion

For the foregoing reasons, the Complaint must be dismissed in its entirety as to all Respondents.

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COZEN O'CONNOR

HOLLAND & KNIGHT

By: _____

By:  _____

Counsel for Respondents⁶
Wayne R. Rohde
Christopher Raleigh
Kathryn Sobotta
1200 19th Street N.W., Suite #300
Washington, D.C. 20036
(202) 463-2507

Counsel for Respondent Hapag-Lloyd AG
Gerald A. Morrissey III
Christopher Nolan
800 17th Street N.W., Suite 1100
Washington, D.C. 20006
(202) 469-5497

MANELLI SELTER PLLC

CICHANOWICZ CALLAN KEANE
& DE MAY, LLP

By: _____

By: _____

Counsel for Respondent Yang Ming
Marine Transport Corporation
Deana E. Rose
1725 I Street NW.
Washington, D.C. 20006
(202) 261-1016

Co-Counsel for Evergreen Line Joint
Service Agreement, FMC No. 011982
Paul M. Keane
50 Main Street, Suite 1045
White Plains, NY 10606
(212) 344-7042

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 3rd day of December, 2020, a true and correct copy of the foregoing Motion for Leave to File Interlocutory Appeal, Memorandum of Law in Support of Respondents' Motion for Leave to Appeal, and Respondents' Appeal of Certain Portions of Order Denying Motion to Dismiss was served via electronic mail on:

W. Stephen Cannon, Esq. (scannon@constantinecannon.com)
David D. Golden, Esq. (dgolden@constantinecannon.com)
Richard O. Levine, Esq. (rlevine@constantinecannon.com)
Seth D. Greenstein, Esq. (sgreenstein@constantinecannon.com)
Osob M. Samantar, Esq. (osamantar@constantinecannon.com)
Justin Wyatt Fore, Esq. (wfore@constantinecannon.com)
Richard Pianka, Esq. (rpianka@trucking.org)
Counsel for Complainant Intermodal Motor Carriers Conference of the American
Trucking Associations, Inc.

Deana Rose, Esq. (drose@mdslaw.com)
Counsel for Respondent Yang Ming Marine Transport Corporation

Paul Keane, Esq. (pkeane@cckd-ny.com)
Joseph DeMay, Esq. (jdemay@cckd-ny.com)
Co-Counsel for Respondent Evergreen Line Joint Service Agreement, FMC No. 011982

Gerald Morrissey III (Gerald.Morrissey@hklaw.com)
Chris Nolan (chris.nolan@hklaw.com)
Counsel for Respondent Hapag-Lloyd AG

A handwritten signature in black ink, appearing to read "Wayne R. Rohde". The signature is fluid and cursive, with the first name "Wayne" being more prominent.

Wayne R. Rohde